

underlying issuer is the added risk that the innovative investor possesses when owning an ETN.

As with ETFs, ETNs allow investors to integrate exposure of an asset into their portfolio without having to deal with the messy details of acquiring and securing that asset. For instance, if an investor believes in commodity futures like live cattle, but doesn't want to get involved with trading the actual futures contracts, he or she can invest in an ETN that tracks that futures index. The issuer of that ETN is responsible for delivering the value of that index (minus fees) to the investor upon maturity or *early repurchase*. Because the ETN trades on an exchange, it's susceptible to market forces and can trade at a premium or discount to its underlying value.²² Trading on an exchange also allows for liquidity, so an investor can easily buy or sell. ETNs can also be held in standard brokerage or custodial accounts.

In October 2015, XBT Provider issued *Bitcoin Tracker One* (COINXBT) to track the USD price of bitcoin.²³ Bitcoin Tracker One takes the average USD exchange rate of bitcoin from the Bitfinex, Bitstamp, and GDAX exchanges to determine the underlying value of bitcoin for the investment.²⁴ The following year, XBT Provider issued the *Bitcoin Tracker Euro*. Both investments were made available through the Interactive Brokers platform, a discount broker service available to investors.²⁵

For these products, XBT Provider charges a 2.5 percent management fee, 25 percent higher than the fee Grayscale charges. Perhaps most important for the innovative investor,